Fundit V2: crowdfunding escrow on Arc

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Abstract

Fundit is a crowdfunding app where each fundraiser is its own escrow contract on Arc, Circle's stablecoin-native blockchain. Donations arrive in USDC or EURC. The creator withdraws to Arc, or receives USDC on another chain through CCTP V2. The platform operator cannot move or freeze any creator's balance. People sign in with a Fundit account, by email (a Circle user-controlled wallet) or with their own wallet. Fundit keeps no database of personal data. Its only server records are the team's own decisions about which fundraisers are under review or removed. The site is static files plus a small Cloudflare Worker for email sign-in, problem reports and that review list. The Worker holds the Circle API key and the Turnstile secret, never signs for anyone and holds no key that can move money. The contracts are deployed on Arc mainnet and Arc testnet. This paper explains the design, the trust model and the plan for launch.

1. Problem

Online fundraising platforms hold donor money in their own accounts before they pay it out. That model has three costs for the people who use it:

- **Custody risk.** The platform can freeze, delay or lose funds. Donors cannot check where their money is.
- **Slow and local payouts.** Creators wait days for a bank transfer, and cross-border payouts add fees and delays.
- **Opaque books.** Donors see a total on a web page. They cannot audit what came in and what went out.

Earlier on-chain fundraising tools fixed some of this but added new problems. Many pooled funds in an operator vault, relied on bridges with their own trust assumptions, or needed a backend that held private keys. The first version of Fundit had these flaws. It sent donations to an owner vault, kept deposit-wallet keys in a database and paid creators off chain. Fundit V2 is a full rebuild that removes all of it.

2. Design goals

1. **Zero custody.** Funds sit in a per-campaign contract. No operator key can move a creator's balance.
2. **Stablecoins only.** USDC and EURC, so a donation keeps its value between giving and payout.
3. **One home chain.** Every campaign lives on Arc. Donors and creators on other chains connect through Circle's cross-chain products, never through a third-party bridge.
4. **No server that can move money, no paid infrastructure.** The site is static files plus a small Worker for email sign-in that holds no key that can move money. All reads come from public RPC endpoints and on-chain events, plus Circle's public Iris API.
5. **No wallet app needed.** A person can sign in with an email address. A person who has a wallet can use it instead.
6. **Honest claims.** Every test that moves money runs on Arc testnet first.

3. Why Arc and Circle

Arc is a Layer 1 blockchain from Circle where USDC is the gas token. Donors and creators hold one asset and never need a separate token for fees. Arc mainnet (chain ID `5042`) is a CCTP V2 domain (`26`), and EURC is live on it. Arc testnet (chain ID `5042002`) has the same CCTP domain and works the same way. Only the token value differs.

Fundit uses these Circle and Arc products:

Product	Role in Fundit
Arc	Home chain for every campaign escrow.
USDC and EURC	The two campaign tokens, used through the ERC-20 interface with 6 decimals.
User-controlled wallets	The Fundit account for email sign-in. Circle signs after the person approves, and Fundit sends the transaction to Arc.
CCTP V2 and the Forwarding Service	USDC payouts and account sends to other chains, in one transaction.

4. System overview

Fundit has two parts:

- **Contracts.** `CampaignFactory` and `Campaign`, written in Solidity and tested with Foundry.
- **App.** A React and TypeScript single-page app, live at `fundit.fun` and served as static files from a Cloudflare Worker with static assets. The same Worker runs the email sign-in API.

```
USDC or EURC sent on Arc (Add money)
                                |
                                v
         Donor's Fundit account (email or wallet account on Arc)
                                |
              approve + donate(), one transaction
                                v
     Campaign escrow on Arc (one EIP-1167 clone per fundraiser)
                                |
     withdraw(): Arc transfer, or CCTP V2 burn with forwarding
                                v
                             Creator
```

4.1 Factory

`CampaignFactory` deploys each campaign as an EIP-1167 minimal clone with CREATE2. The salt is the creator's address and a per-creator nonce, so the app can predict a campaign address before it exists. The factory fixes the USDC, EURC and `TokenMessengerV2` addresses in its constructor. The owner cannot add tokens, which keeps fee-on-transfer and rebasing tokens out of the accounting.

At creation the factory copies the current donation fee and withdrawal fee into the new campaign. Later fee changes apply only to campaigns created after the change.

4.2 Campaign escrow

Each `Campaign` holds one token and tracks four counters:

- `grossDonated`: donation amounts before fees, tips excluded.
- `creatorBalance`: the net amount the creator can withdraw.
- `feesAccrued`: donation fees, withdrawal fees and tips not yet claimed.
- `withdrawn`: the total the creator has taken out.

The contract keeps this invariant at all times:

```
token.balanceOf(campaign) == creatorBalance + feesAccrued + unaccounted
```

`unaccounted` is any campaign token that arrived without a `donate` call: a CCTP mint or a plain transfer. `settle()` books it as a gross donation and charges the donation fee. `donate`, `withdraw` and `claimFees` settle first, so every inflow pays the same fee no matter how it arrived. The invariant is checked by Foundry invariant tests. Because `unaccounted()` saturates at zero, this is a solvency check: the balance is at least `creatorBalance + feesAccrued`.

`raised()` returns `grossDonated` plus any unaccounted amount. Withdrawals never reduce it, so the progress bar always shows the total raised.

4.3 Fundit accounts

A Fundit account is a plain account on Arc. A person signs in with email or with their own wallet, and each way gives its own account with its own address.

- **Email.** The account is a Circle user-controlled wallet. The person enters an email address and a code that Circle sends. Circle signs only after the person approves in Circle's window, and Fundit sends the transaction to Arc. Fundit's server never signs. Email sign-in is on at `fundit.fun` (`VITE_EMAIL_SIGNIN=1`).
- **Wallet.** The account is the person's own wallet. Browser wallets connect directly (EIP-6963). Only phone wallets use WalletConnect. The wallet asks for approval of each transaction.

There is no paymaster, so the account pays its own gas in USDC. Every account keeps 0.01 USDC in the account for the network fee. An action with several calls, such as approve and donate, goes out as one transaction.

The account offers these flows:

- **Add money.** The person sends USDC or EURC on Arc to the account address, from any wallet or exchange. Card and bank are planned (section 10).
- **USDC on every network.** The account page reads the person's USDC on Arc and on each CCTP chain Fundit pays out to, with a total.
- **Send money out.** The account sends USDC or EURC to any address on Arc, or USDC to another CCTP chain with the Forwarding Service.

Reown (WalletConnect) pairs phone wallets for wallet sign-in. No Reown interface is used.

4.4 Donations

The donor's Fundit account approves the campaign for `amount + tip` and calls `donate(amount, tip, message)` in one transaction. The campaign records the account as `msg.sender`.

Hide my name puts the ASCII marker `[anon]` at the start of the message. Fundit pages then show "Anonymous" in place of the donor's name. This hides the name on Fundit only. The gift is not private: the `Donated` event still records the donor's account address on chain.

4.5 Withdrawals and payouts

Only the creator can call `withdraw(amount, destDomain, recipient, maxFee, minFinalityThreshold, hookData)`. The organiser can withdraw to Arc or to any chain in the app's CCTP list. The contract settles, takes the withdrawal fee, then:

- On Arc (domain `26`), transfers the net amount to the recipient.
- On another CCTP domain, approves exactly the net amount to `TokenMessengerV2` and calls `depositForBurnWithHook` with the Forwarding Service hook data. Circle mints on the destination chain, and the creator pays no gas there.

The app quotes the Fast and Standard fees from Circle's CCTP fees API before it builds the call. A fork test confirmed a USDC withdrawal to Base (domain `6`) through the real `TokenMessengerV2` on Arc mainnet with plain `depositForBurn`. The hook path is covered by unit tests against a mock messenger.

4.6 EURC campaigns

EURC campaigns take donations and pay out on Arc only. On Arc mainnet, CCTP cannot burn EURC today. On a fork, `depositForBurn(EURC)` to domains 0, 1, 6 and 14 reverts with "Burn token not supported", and `TokenMinterV2.burnLimitsPerMessage(EURC)` is 0. Press reports said EURC CCTP was live on Arc. Fundit follows on-chain state instead.

The factory takes a list of EURC payout domains in its constructor, with no setter. The deployed list is empty. A creator can still withdraw EURC on Arc and move it themselves. Adding an EURC route later needs a new factory.

4.7 The app

The app reads everything from chain. The home page and explore page read the factory in pages and multicall each campaign's `summary()`. Donation history comes from `eth_getLogs` on the campaign address. Every campaign event ends with `prevActivityBlock`, a pointer to the previous block with campaign events. The app walks backwards in 10,000-block windows, the limit of the public Arc RPC, and skips quiet blocks.

Each transaction waits for its receipt before the app shows success. The app estimates gas on Arc and adds a 25% margin. Names come from ENS and Basenames. Campaign images are links, with no uploads.

Hosting is a Cloudflare Worker with static assets. A content security policy limits scripts to the site itself and Cloudflare Turnstile, and network calls to the Arc RPC, the CCTP chain RPCs, Circle's APIs and the WalletConnect hosts that phone-wallet sign-in needs.

5. Trust model

5.1 What the owner can do

The factory has one owner, set at deploy, with `Ownable2Step` transfers. The owner can:

- Set the donation fee and withdrawal fee for new campaigns, each at most 5% (`MAX_FEE_BPS = 500`).
- Set the treasury to any non-zero address. `claimFees` pays the treasury named at claim time, so a new treasury also receives unclaimed fees and tips from existing campaigns.
- Set a featured campaign.
- Pause and unpause the creation of new campaigns.

`renounceOwnership` always reverts, so the treasury can always be rotated.

5.2 What the owner can never do

- Move, freeze or redirect any creator balance.
- Pause donations, withdrawals, settlement or fee claims on an existing campaign.
- Change an existing campaign's fees, token, creator or goal.
- Add a token, change the messenger or upgrade any contract.
- Take part in creator recovery.

5.3 Fees

The deployed configuration is a 1% donation fee and a 1% withdrawal fee. Each fee rounds down in the creator's favor. Tips are optional and chosen by the donor. Fees stay in the campaign until anyone calls `claimFees()`. A treasury that reverts can block only fee claims, never donations or withdrawals.

5.4 Creator recovery

A creator who loses their key would lock the campaign balance forever. To prevent that, a creator can name an optional backup address. The backup calls `initiateRecovery`, waits 7 days (`RECOVERY_DELAY`) and then calls `completeRecovery` to become the creator. During the wait the creator keeps every power and can cancel with `cancelRecovery`. Changing the backup also cancels a pending recovery. No recovery function moves tokens.

5.5 Wrong-token rescue

If someone sends a token other than the campaign token, the creator can call `sweep(token, to)` to recover it with no fee. The call reverts if the campaign-token balance drops, which guards against a second address that controls the same asset.

5.6 Reports and review

Anyone can report a campaign from its page. The report goes to the team's private Telegram chat after a Cloudflare Turnstile check and a rate limit, and the server keeps no copy. The owner reviews each report in the admin panel and can mark the campaign as under review, removed or cleared. A campaign under review or removed is hidden from the home and explore pages. Its page still opens by link and shows a warning, and a removed campaign has no Give button in the app. These states live in a small Cloudflare D1 database that holds only the team's decisions, never personal data.

Review changes only what the Fundit website shows. No review state can move, freeze or return money, and anyone can still send tokens to a campaign address directly. Before a donor's first gift, and before every gift to a campaign under review, the app shows a notice that gifts cannot be reversed or refunded and that Fundit does not guarantee how an organiser uses the money.

6. Security process

- **Tests.** Foundry unit, fuzz and invariant tests. The invariants cover the balance equation, token conservation, raised never decreasing, fees within the creation snapshot, stray tokens and a blocked treasury. Unit tests cover owner powers.
- **Fork tests.** An Arc mainnet fork suite runs under Arc Foundry `v0.8.0-2`. It only reads chain state. It covers the CCTP payout path with plain `depositForBurn`, EIP-3009 support and EURC CCTP support.
- **Static analysis.** Slither, with every accepted finding listed in `contracts/SECURITY.md`.
- **Arc testnet.** The app has an Arc testnet build setting. A build with `VITE_ARC_NETWORK=testnet` reads every address and URL for testnet, and refuses to run on `fundit.fun`. The end-to-end suite runs on Arc testnet against the testnet factory. It signs in with a test wallet and runs each money flow: add money, create, give with Hide my name on, withdraw and send money out. It checks every result on chain.

The contracts have not had a third-party audit. A grant would fund one (section 10).

7. Business model

Fundit earns the donation fee, the withdrawal fee and optional tips. All three are visible on chain and in the donate form before the donor signs. The fees for a campaign never change after it is created.

Fundit has little infrastructure cost. The site is static files plus a small Worker, hosting uses a free tier, and all reads use public RPC endpoints.

8. Status

As of October 2026:

- Contracts: deployed on Arc mainnet and verified on Sourcify and the Arc explorer. The addresses and deploy block are in the table below.
- Contracts on Arc testnet: deployed at block `67870064`. The addresses are in the table below.
- App: `fundit.fun` runs on Arc mainnet, in beta. Sign-in is by email or by wallet.
- Traction: none yet. Metrics in this paper are placeholders until launch.

Arc mainnet contracts (deploy block `26452579`):

Contract	Address
`CampaignFactory`	`0xf1b2AEF82c37fC41D254D8e06BD7780ce34617d9`
`Campaign` implementation	`0x083CE7a68Ae418f832E12c2aB976615237e03853`
Owner and treasury	`0x3552E9c14C7b6050839009A5B160A4446a1e916D`

Arc testnet contracts (deploy block `67870064`):

Contract	Address
`CampaignFactory`	`0x6890D40a9A472D0d05aDb5938D85B07059ad54ab`
`Campaign` implementation	`0xC7109CAAA5375EE740b95a3DeE52c4C92A02Ba8E`

Contract	Address
Owner and treasury	`0x3552E9c14C7b6050839009A5B160A4446a1e916D`

9. Launch plan

1. Done: deploy the factory to Arc testnet and record its address.
2. Done: run the end-to-end specs on Arc testnet with a test wallet: sign in, create a fundraiser, give, withdraw and send money out.
3. Done: run a manual email sign-in check on the mainnet build.
4. Done: turn on email sign-in on `fundit.fun`.

10. Roadmap and grant milestones

Fundit is live on Arc mainnet in beta. The milestones below are proposed for a Circle Developer Grant of 5,000 USDC. Every milestone ships on mainnet.

Milestone	Deliverable	Evidence
M1: Give from any chain	Donors give USDC from Ethereum, Base, Arbitrum, OP Mainnet, Avalanche, Polygon or Solana into any Fundit on Arc with one signature, for email and wallet accounts. Fundit's relayer, a Circle developer-controlled smart account, submits the CCTP V2 burn with gas paid by Circle Gas Station.	Mainnet gifts from other chains, read from campaign events and CCTP messages
M2: Out of beta	An independent review of `Campaign`, `CampaignFactory` and the relayer, with every finding fixed and the report published. Then the full launch with the first partner causes.	Published report, live Fundits from partner causes
M3: Fundit V1.5, open to everyone	Card and other fiat gifts through Circle's Onramp and other integrations, so people without crypto can give to any Fundit.	Mainnet gifts paid by card

Planned for V2, not milestones yet:

- **Giving agent.** Recurring gifts from the donor's own account, within limits the donor signs up front. No agent will hold a key that controls money.
- **Private giving.** Gifts through a zero-knowledge (ZK) pool, so the donor's address is not linked to the gift on chain. It needs its own audit before mainnet.

11. Risks

- **Fixed configuration.** The fees for existing campaigns and the EURC payout list cannot change after the deploy. A new EURC route needs a new factory.
- **Lost access.** Nobody can recover an email account without its email address, and Fundit cannot recover a wallet account. Each person keeps their own email address and wallet safe.
- **No audit yet.** Mitigated by tests, fork tests, Slither and testnet runs. An independent review is milestone M2.

References

- Contracts: `contracts/src/Campaign.sol`, `contracts/src/CampaignFactory.sol`
- Trust model: `contracts/SECURITY.md`
- Deployment record: `contracts/deployments/arc-mainnet.json`
- Network values: `app/src/config.ts`
- Circle developer docs: https://developers.circle.com